6 Here is information about two savings accounts.

Savemore	**Highbrook**
Compound interest	Compound interest
1.25% each year	2.1% for the first year 0.95% for each extra year

Abi is going to invest £5000 in one of these savings accounts for 3 years.

She wants to have as much money as possible in the account at the end of 3 years.

(a) Which savings account should Abi choose?
You must show all your working.

Savemore: $5000 \times 1.0125^3 = £5189.85$

1 mark
1.25% growth gives multiplier 1.0125.

Highbrook: $5000 \times 1.021 \times 1.0095^2$

1 mark
Compound over three years.

$= £5202.46$

1 mark
One year at 2.1%, then TWO at 0.95%.

Choose Highbrook: £5202.46 > £5189.85.

1 mark
Compare final balances over the same three years.

(4)

Before Abi decides which savings account to choose, the rate of interest for the Savemore account is changed to 1.15% each year.

(b) Does this affect which savings account Abi should choose?
You must give a reason for your answer.

No. Savemore was already lower; reducing its rate makes it lower still. Highbrook remains the choice.

1 mark
A lower positive interest rate cannot reverse this comparison.

(1)

(Total for Question 6 is 5 marks)

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